

Between 1996 and 2007, we provided guarantees to a number of our non-Iranian customers in Europe and the Middle East for various business activities in Iran. In a number of cases, we issued counter indemnities involving Iranian banks as the Iranian beneficiaries of the guarantees required that they be backed directly by Iranian banks. The Iranian banks to which we provided counter indemnities included Bank

exploited for criminal activity. We do this because it is the right thing to do to protect our customers, shareholders, staff, the communities in which we operate and the integrity of the financial system on which we all rely. We recognise that financial institutions are inherently exposed to financial crime risk, which cannot be mitigated in its entirety. We employ a risk-based approach to managing our exposure by focusing our resources in a manner that is proportionate to the level of financial crime risk inherent in our business strategy and operating model. We remain committed to conducting our activities in accordance with all applicable financial crime laws and regulations in the markets in which we operate, the expectations of our regulators, measures associated with corporate criminal liability, and our own risk appetite.

HSBC has an established financial crime risk management programme that is applicable across all global businesses and functions, and all countries and territories in which we operate. This enables the bank and its staff to detect, analyse, investigate, report and mitigate the risk of HSBC facilitating or being used to facilitate financial crime, including bribery and corruption, fraud, money laundering, terrorist financing and proliferation financing, tax evasion, sanctions and export control violations and evasion.

HSBC could be subject to heightened commercial, operational, regulatory, reputational and market risks resulting from sanctions, trade restrictions and other regulatory changes related to foreign policy or national security concerns, as well as shifts in the geopolitical landscape. These risks may increase or evolve due to changing geopolitical dynamics, economic uncertainties, strategic competition in technology, and political instability and conflicts. HSBC has developed a comprehensive compliance framework to seek to manage sanctions and other financial crime risks. It is designed to identify and respond to changes in financial crime laws and regulations affecting the Group, to identify and address exposure that may arise from the activities of the Group, while fostering a strong compliance culture. This is supported through an extensive training programme aimed at equipping HSBC employees with the knowledge and skills necessary to maintain high standards of compliance.

Technical and digital innovation in how we engage with customers and the services we provide to them continue at pace. Considering the dynamic and changing environment, including the increasing use of alternative (including digitised) payment methods and technologies, HSBC continues to shape its risk appetite and enhance its control framework to detect, deter and disrupt financial crime more effectively, increasing its use of intelligence-led technologies and artificial intelligence to monitor customers for unusual or suspicious activity.

Tejarat, Bank Mellî, and the Bank of Industry and Mine. There was no measurable gross revenue in 2025 under those guarantees and counter indemnities. We do not allocate direct costs to fees and commissions and, therefore, have not disclosed a separate net profit measure. We are seeking to cancel all relevant guarantees and counter indemnities, and do not currently intend to provide any new guarantees or counter indemnities involving Iran. No guarantees were cancelled in 2025, and approximately 14 remain outstanding.

Other relationships with Iranian banks

Activity related to U.S.-sanctioned Iranian banks not covered elsewhere in this disclosure includes the following:

We act as the trustee and administrator for a pension scheme involving employees of a U.S.-sanctioned Iranian bank in Asia. Under the rules of this scheme, we accept contributions from the Iranian bank each month and allocate the funds into the pension accounts of the Iranian bank's employees. We run and operate this pension scheme in accordance with applicable laws and regulations. Estimated gross revenue, which includes fees and/or commissions, generated by this pension scheme during 2025, was approximately \$2,224.

For the Iranian bank-related activity discussed above, we do not allocate direct costs to fees and commissions and, therefore, have not disclosed a separate net profit measure.

We currently intend to continue to wind down the above activities, to the extent legally permissible, and not enter into any new such activity.

Activity related to U.S. Executive Order 13224

We have a corporate customer in Asia that was designated under Executive Order 13224 in 2025. Immediately following the designation, and prior to the accounts being restricted, we processed two low-value local currency domestic payments for the customer.

We had an individual customer in Europe that was designated under Executive Order 13224 in 2021. The relationship was exited in 2025 and, as part of the exit process, we wrote off a de minimis local currency balance owed by the customer.

We had an individual customer in Latin America that was designated under Executive Order 13224 in 2025. Shortly following the designation and before the account was restricted, we processed three small local currency domestic payments for our customer.

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We had an individual customer in the Middle East that was designated under Executive Order 13224 in 2021. The customer's accounts were restricted at the time of designation and the relationship was exited during 2025. As part of the exit process, we returned the customer's funds to the customer.

During 2025, as part of the settlement of the estate of a deceased customer in the Middle East, we processed a local currency domestic payment from the deceased customer's account to an individual designated under Executive Order 13224 who acted as representative for the deceased customer's heirs.

We have individual and corporate customers in the Middle East that, during 2025, made local currency cheque payments for the rental of property to a corporate entity designated under Executive Order 13224. We processed these cheques on behalf of our customers.

During 2025, pursuant to general licences issued by the U.S. Department of the Treasury's Office of Foreign Assets Control, we processed a small number of low-value U.S. dollar payments to the account of a non-designated non-governmental organisation held at a financial institution designated under Executive Order 13224 and one U.S. dollar payment from an entity designated pursuant to Executive Order 13224 to a non-designated corporate customer of HSBC.

For these activities, there was no measurable gross revenue or net profit to HSBC during 2025.

Activity related to U.S. Executive Order 13382

We had a corporate customer in Asia that was designated under Executive Order 13382 in 2025. Immediately following the designation, and prior to the accounts being restricted, we processed two payments for the customer. The relationship was exited in 2025 and, as part of the exit process, we returned the customer's funds to the customer.

For this activity, there was no measurable gross revenue or net profit to HSBC during 2025.

Other activity

We have a non-Iranian insurance company customer in the Middle East that, during 2025, made local currency domestic payments for the reimbursement of medical treatment to a hospital located outside Iran that is owned by the Government of Iran. We processed these payments from our customer to the hospital.

We have three customers in the Middle East that, during 2025, made local currency domestic payments for medical treatment to a hospital located outside Iran that is owned by the Government of Iran. We processed these payments from our customers to the hospital.

We have three corporate customers in the Middle East that, during 2025, received local currency cheques from a hospital located outside Iran that is owned by the Government of Iran. We processed the cheques from the hospital to our customers.

We have individual and corporate customers in the Middle East that, during 2025, received local currency cheques from an insurance company located outside Iran that is owned by the Government of Iran. We processed these cheques from the insurance company to our customers.

We have individual and corporate customers in Europe that, during 2025, made local currency domestic payments to, or received such payments from, an Iranian embassy. Generally, these customers appear to receive consular or other services provided by the embassy or provide goods and services that support the conduct of the official business of the embassy. We processed these payments between our customers and the Iranian embassy.

We have an individual customer in Europe that is employed by a bank located outside Iran that is owned by the Government of Iran. During 2025, we processed local currency salary payments received via a bank that is not owned by the Government of Iran to our customer. We are in the process of exiting the customer.

During 2025, we processed two low value local currency payments to a pension fund in Europe from an account held at a non-designated financial institution by an insurance company located outside Iran that is owned by the Government of Iran.

For these activities, there was no measurable gross revenue or net profit to HSBC during 2025.

Frozen accounts and transactions

We maintain several accounts that are frozen as a result of relevant sanctions programmes, and safekeeping boxes and other similar custodial relationships, for which no activity, except as licensed, authorised, or otherwise related to the maintenance of such accounts as consistent with applicable law, took place during 2025. There was no measurable gross revenue or net profit to HSBC during 2025 relating to these frozen accounts.